

LESSORS ARE UNABLE TO TAKE BACK THEIR AIRCRAFT DUE TO NCLT'S MORATORIUM ON GO FIRST'S FINANCIAL OBLIGATIONS

travel agents' money is also locked, putting many of them at risk."

Another section impacted is the Go First employees, as the carrier wants its personnel to serve notice periods ranging from six to 12 months before they are officially relieved. "The worst affected are pilots who are being treated as an asset by the airline. Other than them, they have no other assets as all the aircraft are on lease," says aviation industry veteran Shakti Lumba. "However, the guys who will get the worst hit are the ground staff, for they will be left high and dry."

Despite these hiccups, the Indian aviation growth story is expected to remain intact, with the forecast of a steady increase in air traffic over the next few years. Experts also say the current spike in ticket prices is a short term phenomenon, and it will start cooling down with the evolving demand-supply situation. "Over the medium term, we could see some additional risk pricing that may be charged by the lessors from Indian carriers. Also, the concerted effort to develop the overall aviation ecosystem, like MRO hubs and giving impetus to aircraft leasing origination in India could hit a pause button," says Jagannarayan Padmanabhan, Senior Director at CRISIL Market Intelligence. The government and the regulator will need to take some serious lessons from the crisis. **BT**

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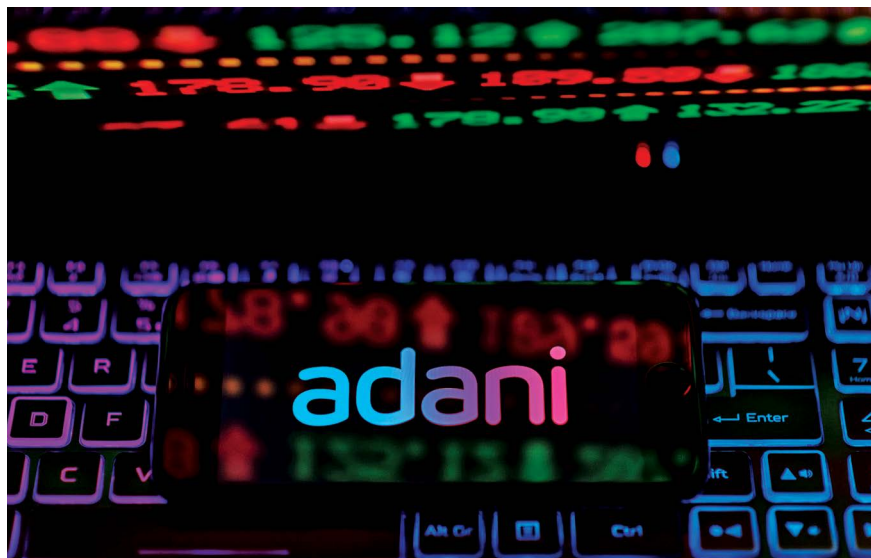
| ADANI GROUP |

Back to the Market

The decision to raise fresh funds through the QIP route is yet another move by the Gautam Adani-led Adani Group to send a strong signal to investors

BY ASHISH RUKHAIYAR

PHOTO BY GETTY IMAGES



► **THE FUNDAMENTALS AND** the business prospects of Adani Group firms have not changed despite all the allegations made by Hindenburg," says Deven Choksey, Promoter of KRChoksey Group. A market veteran who has seen the fortunes of many a company flounder or prosper over the years, Choksey would know. The Adani Group has been in the news for most of 2023, primarily due to a damaging report put out by short-seller Hindenburg Research that pushed all the group firms' stock prices into free fall.

Despite that, these firms are carrying on with business as usual. Recently, some have even announced plans to raise fresh funds, a feat they couldn't have achieved earlier this year after the Hindenburg episode forced it to withdraw the ₹20,000-crore follow-on offer (FPO) of Adani Enterprises.

Now, Adani Enterprises and Adani Transmission have secured Board approvals to raise a total of ₹21,000 crore by way of qualified institutional placements (QIP), where new shares are issued to select institutional